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Funding Your Venture
Software Development Forum
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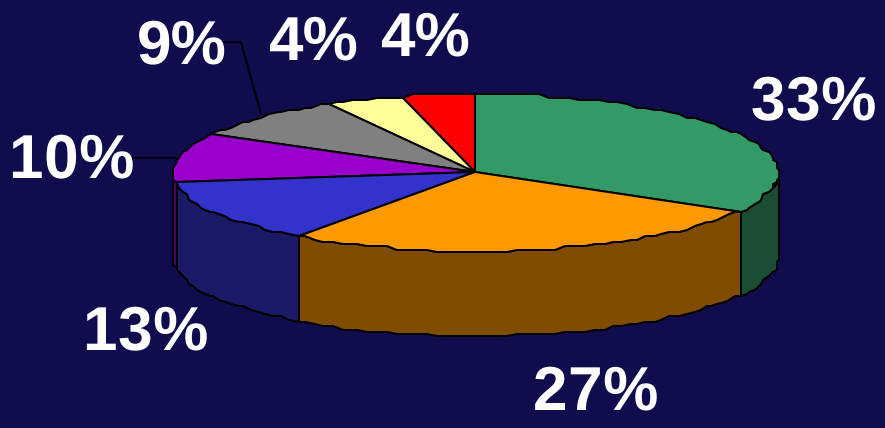
Funding Solutions for a Networked World

Erik G. Straser
Mohr, Davidow Ventures

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Venture Funding—Q2 1999 Industry

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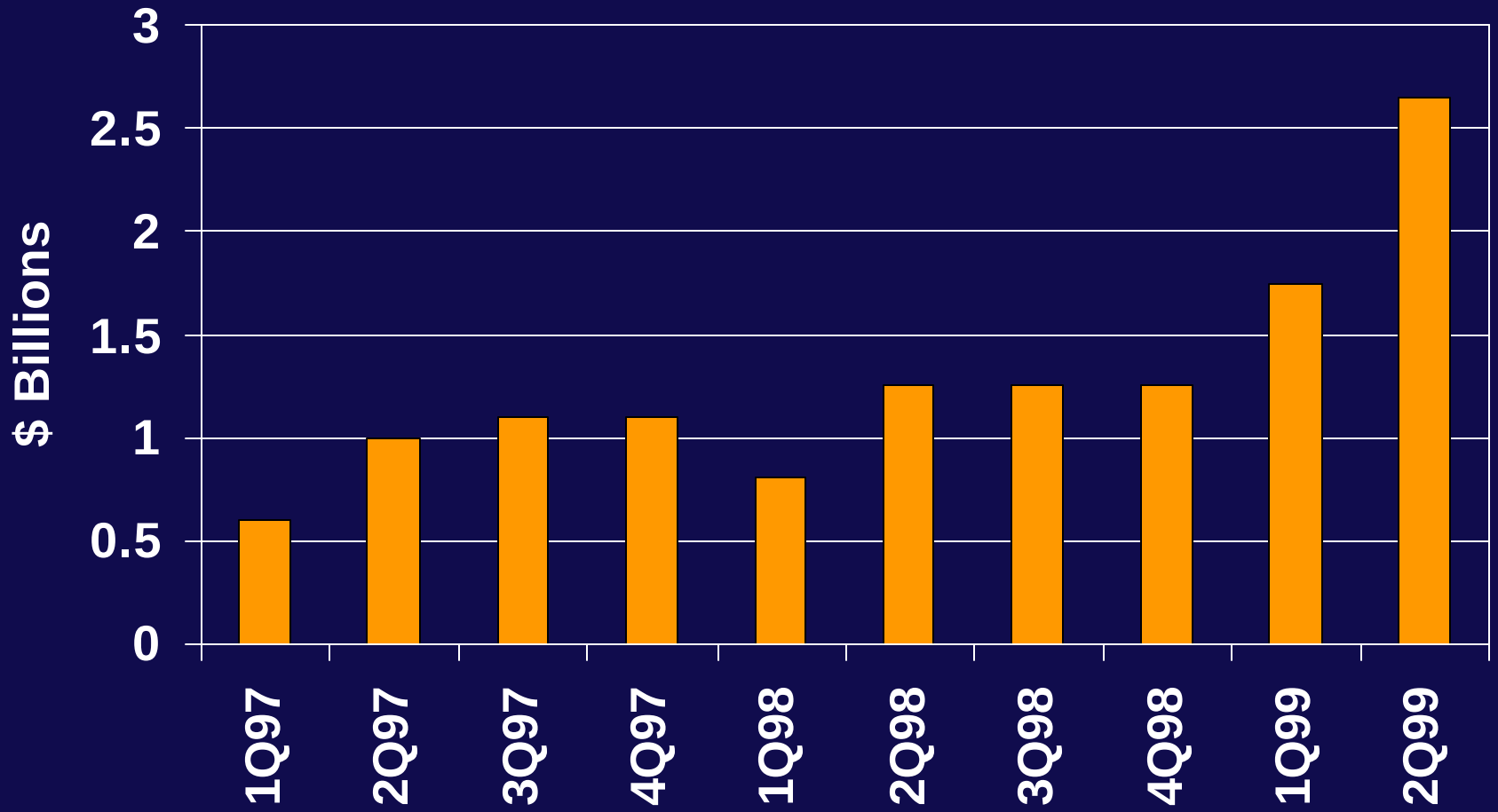


- Communications
- Software
- Consumer
- Bio / Medical
- B. Services
- Semicon
- Computers

Source: PriceWaterhouse Coopers

Venture Funding—$ into the Valley

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Source: PriceWaterhouse Coopers

Sources of Capital to Entrepreneurs

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Source	Typical Capital
Friends and family	10K–1M
Angels	100K–2M
Venture capitalists	250K–50M
IPO	40M–100M
Secondary offerings	50M–250M
Debt and other	100M–2B

What VCs Look for in a Company

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- Team
  - Passionate and contagious
  - Successful managers with domain expertise
- Market
  - Large (taking share away from others)
  - Explosive (grabbing share in growth)
- Offering
  - Better, faster, cheaper
  - Not possible before
- An unfair advantage over competitors

How to Select an Investor

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- Should do more than write a check…
- Characteristics of great VCs
  - Are knowledgeable about your industry
  - Provide tactical and strategic advice
  - Help recruit the management team
  - Make introductions to strategic partners
  - Assist with downstream financing
- Should be someone you'll like to work with
  - Through the good times and the bad
  - For a 3–5 year marriage

What You Need to Pitch Investors

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- 3–5 page Executive Summary
  - Who are these people? Why can they do this?
  - What is the problem? How big a problem is it?
  - How many people have this problem? Who are they?
  - What is the business and technical solution?
  - How do we implement the solution?
  - Who else is part of this problem or solution?
  - What are the financing needs and milestones?
- 12–15 slide presentation
  - Concise
  - Clear
- An introduction…

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- 10 professionals with $700M under management
- Invest in 3 categories
  - e-Commerce
  - Internet infrastructure
  - Networking and semiconductors





















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Managing Your Company with Investors

Stephen S. Hau, Founder
The VIRTMED Corporation

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Agenda

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- The Company
- Money raising experiences
  - Friends, families, and fools
  - Angel investors
  - Venture capital
- Pros and cons of getting in bed with the VCs
- Lessons learned

The Company

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- The Vision
  - Connecting doctors at the point of care
  - “Rental car anecdote”
- The History
  - Technology
  - Psychology
  - Our value proposition:
    selling money at a discount

Money Raising Experiences

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- Friends, family, and fools (aka beg, borrow, and steal)
  - << $100,000
  - Happy talk
- Angel investors
  - << $1,000,000
  - Minimal hassle but minimal help
- Venture capital
  - >>>> $1,000,000
  - The makings of a real company

In Bed with the VCs

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- Pros
  - Keys to the gold mine
  - Instant credibility
  - Air cover
  - World-class management
  - Network and connections
  - They know what they’re doing
- Cons
  - Give up ownership
  - Give up control
  - They know what they’re doing

Lessons Learned

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- VC-entrepreneur relationship
  - You need them and they need you
  - They want to invest
- Not all VCs were created equal
  - Follow the leader
  - Stick-with-it-ness
  - Dry powder
  - Get references

Thank You…

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- Stephen S. Hau

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Exit Strategies— Acquisition, Partnership or IPO

Christopher Freeman
C.E. Unterberg, Towbin

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C.E. Unterberg, Towbin

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- C.E. Unterberg, Towbin is a relationship-oriented investment banking firm providing the highest level of service to a select group of emerging technology companies
- Our Corporate Finance department has in-depth experience in structuring and executing transactions
  - Private Equity
  - Initial Public Offerings
  - Mergers and Acquisitions

Know Your Value Before You Exit

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How to Value a Technology Company

- Self-assessment:
  - Technology
  - Relationships
  - Last round
- Value is in the eye of the beholder:
  - Financial investor—IRR, DCF, fair market value
  - Strategic investor—synergies, make v. buy cost
- Exit Strategy
  - Acquisition—20–40 % control premium
  - Partnership—structure determines valuation
  - IPO—market conditions

Sale of Company: Advantages

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Advantages

- Straight-forward process
- May maximize up-front cash proceeds
- Flexibility with respect to consideration
  - Cash
  - Stock
  - Earn-out

Sale of Company: Disadvantages

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Disadvantages

- Limited upside participation depending on structure
- May not maximize potential value
- May result in a taxable event

Why Form a Strategic Partnership?

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- By sharing resources and splitting costs and risks, strategic partnerships take advantage of market opportunities
- Partnerships can run the spectrum from press release to outright acquisition

IPO: Advantages

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Advantages

- Cash to grow the business
- Liquidity for employees and investors
- Creation of a currency that can be used for acquisition
- Enhancement of the Company's stature, perceived stability and competitive position
- Attraction/retention of employees
- Access to the public market for future financing

IPO: Disadvantages

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Disadvantages

- Distraction of management from the operations
- Initial and ongoing costs
- Lack of operating confidentiality
- Compliance with SEC reporting requirements
- Reduced flexibility in corporate affairs
- Increases focus on short-term results

Is My Company Ready to Go Public?

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IPO Candidate Profile

- Management depth
- Market growth and potential
- Product/service
- Financial model
  - Predictability
  - Growth
- Condition of public equity markets

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Venture Capital Resources
Carol Lauffer
Business Development Director
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- Center for information, connection and education
- Connect with VC and investors
  - One-on-One Meetings with VC and angels
  - 19 VC firms participate in SDF
- Learn about the funding process
  - Seminars on funding taught by VCs and industry experts
- Network at special events
  - Monthly Dinner—success stories
  - Showcase events featuring emerging companies in search of VC

Other VC Resources

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- VentureOne
  - www.ventureone.com
- Money Tree Survey
  - www.pwcglobal.com
- garage.com
  - www.garage.com
- Frontier Ventures
  - www.frontiervc.com
- VCAPITAL.COM
  - www.vcapital.com

Software Development Forum

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- Go to www.sdforum.org
  - Links to 19 VC firms and more
- Get on SDF mailing list—newsletter
  - Call 408-494-8378
- Join the events e-mail list
  - Send the message “join” in the body of the text to events-request@sdforum.org
- Join!


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